

KCB Groups' Atlas Mara Deal Faces Negative Investor Sentiments

KCB Group has this morning announced plans to expand its regional footprint through the acquisition of Banque Populaire du Rwanda Plc (BPR) and African Banking Corporation Tanzania (BancABC) through:

- 62.06% stake of the shares of Banque Populaire du Rwanda Plc (BPR)
- 100% stake of African Banking Corporation Tanzania

As at June 2020, AtlasMara had asset book of about KES 45B in total assets in Rwanda and about KES 6.4B in Tanzania.

DATE:	**26th November 2020**
Target Price:	**KES 46.17**
Current Price:	**KES 37.60**
Upside:	**22.8%**
52 Week Low:	**KES 30.00**
52 Week High:	**KES 55.50**

Investor Sentiment

Investors remain concerned over the viability of the deal given the flop in discussions to have Equity Group to acquire 62% stake in Banque Populaire du Rwanda (BPR) and all of Atlas Mara's subsidiaries in Zambia, Tanzania and Mozambique (BancABC). In exchange, Atlas Mara was to obtain a 6.3% equity stake in Equity Group, representing 252.2M shares with an estimated value of KES 10B at the time. Equity cited differences in valuation between the two parties due to the uncertainty of risk as the reason for opting out of the deal.

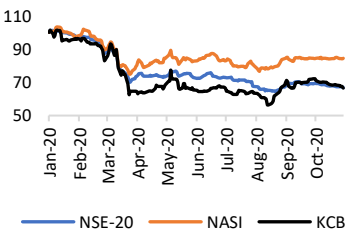
Possible impact on KCB Group

This deal will increase the Group's presence in Africa while exploiting new growth opportunities.

KCB Group could add value in the following ways:

- Growth of the non-interest book: The banks being acquired are heavily dependent on interest income. Diversifying the income stream could increase profitability.
- Use of alternative channels: KCB prides itself in its increased use of alternative channels as it reduces transactions in the branches. This could help the bank reduce costs.
- Possibility of lowering cost through agency banking: ATML recently launched agency banking in its subsidiaries. KCB could leverage on this to decrease costs.

KCB vs Indices



Source: AIB-AXYS Research

Negative Impact

The key disadvantage of this deal is investor dilution and the possible a reduction in the profitability ratios in the short-term due to the purchase of less profitable entities. Uncertainty around the prevailing pandemic also remains a key concern with business operations all over the world having been negatively affected.

Analyst

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KCB Subsidiary Performance

- **Rwanda**

The subsidiary saw a 237.6% y/y surge in PAT to KES 763M in FY19 driven by increased interest income with a 11.8% y/y growth in loans to KES 14.6B and a 19.4% y/y decline in deposits to KES 20.0B. Opportunities for increased profitability lie in enhanced lending. The launch of KCB Connect mobile lending may see enhanced growth in mobile loans which may also propel growth in NFI.

- **Tanzania**

The group saw a 57.6% y/y growth in PAT to KES 684M with a 5.9% y/y growth in loans and advances to KES 16.5B and a 13.2% y/y growth in deposits to KES 16.9B. The bank could still leverage on growing its NFI to enhance profitability. The country is however still grappling with a changing regulatory environment and the current business environment expected to see worsening asset quality.

AtlasMara Subsidiary performance

Rwanda

Rwanda reported a 65.3% y/y increase in profitability in 1H20.The growth was driven by an increase in non-interest income especially commissions from new loans disbursed and transactional fees as a result of increase in transaction volumes. The quality of the loan book improved resulting in a reduction in loan impairment charges. Deposits grew by 10.6% y/y boosted by account opening through a mobile channel and agency banking.

Tanzania

Performance was adversely affected by the reduction in transactional activity caused by the COVID-19 pandemic. This resulted in a decrease in forex trading revenue, credit related fees and digital transactions.

Benefit for ATML

- Sale of its less profitable ventures: ATML has retained its shareholding in Botswana, Zimbabwe and Nigeria. Zimbabwe is its largest profit contributor by country. The sale of the East African banks is likely to improve ATML's ROE which stood at 5.6% in 2017, partly weighed down by East Africa (ROE of 1.8%).

Rwanda (KES M)	2020	2019	change y/y
Interest income	2096.6	2028.0	3.4%
Interest expense	671.2	520.5	29.0%
Net interest income	1425.4	1507.5	-5.4%
Loan impairment charges	105.9	211.8	-50.0%
Income/loss from lending activities	1319.5	1295.8	1.8%
Non interest income	452.7	406.4	11.4%
Total operating income	1772.2	1702.1	4.1%
Operating expenses	1404.4	1602.2	-12.3%
Profit before tax	367.8	99.9	268.0%
Profit after tax	257.4	33.2	675.2%

Tanzania (KES M)	2020	2019	change y/y
Interest income	994.2	729.4	36.3%
Interest expense	448.8	371.0	21.0%
Net interest income	545.4	358.4	52.1%
Loan impairment charges	15.8	17.0	-7.1%
Income/loss from lending activities	561.2	341.4	64.4%
Non interest income	91.1	124.4	-26.7%
Total operating income	652.3	465.7	40.1%
Operating expenses	696.1	908.5	-23.4%
Loss before tax	-43.8	-442.8	-90.1%
Loss after tax	-46.9	-2659.0	-98.2%

Source: AIB-AXYS Research, company fillings



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